

OCR AS and A Level Economics (H060, H460) Topic Questions

Mark Scheme

Main Topic

Microeconomics (Component 01)

Sub-Topic

Business Objective

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**To be used by all students and teachers for
OCR AS and A Level Economics (H060, H460)
for exams from 2025 onwards.**

Students and teachers of other boards may also find this useful

Mark Scheme

Question	Answer/Indicative content	Marks	Guidance
1	Profit maximisation is an unrealistic objective and does not explain the behaviour of firms in the real world. Evaluate the extent to which profit maximization is the most important objective influencing the activities of a firm in the real world. Level 5 (21–25 marks) Good – Strong knowledge and understanding of profit maximisation and of the activities of firms in the context of specific markets and industries. Strong analysis will have consistently well-developed links through a coherent chain of reasoning which addresses the question. Any relevant diagram(s) are predominantly correct with no significant errors that affect the validity of the analysis. Any diagrams must be integral to the analysis. Strong evaluation of the extent to which profit maximization is the most important factor influencing choice of objectives, weighing up both sides/comparing alternatives and reaching a supported judgment. <i>There is a well-developed and sustained line of reasoning which is coherent and logically structured. The information presented is entirely relevant and substantiated.</i> Level 4 (16–20 marks) Good knowledge and understanding of profit maximisation and of the behaviour of firms using real world examples. Strong analysis will have consistently well-developed links through a coherent chain of reasoning which addresses the question. Any relevant diagram(s) are predominantly correct with no significant	25 (AO1 x 6) (AO2 x 6) (AO3 x 6) (AO4 x 7)	For a mark at the top of each level the response should be in context. Profits are maximised at the level of output where $MR = MC$. This can be illustrated and explained with the use of diagram(s) and compared to other business objectives. Profit maximisation is an important objective because of the ability to fund investment, allowing a firm to be dynamically efficient, reward shareholders in terms of higher dividend payments, reward and incentivise workers with higher wages and / or fringe benefits, reward and incentivise managers through profit-sharing schemes, resist takeovers and achieve growth through mergers / takeovers which increases horizontal and vertical integration. There are, however, limitations of profit maximisation as an objective. Arguably the main limitation is that it is difficult to identify the marginal cost and marginal revenue, especially for multi-product firms because of the lack of information about cost structures. The divorce of ownership from control and the principal-agent problem means that large firms in particular may pursue other objectives such as revenue maximisation, sales maximisation, satisficing behaviour and corporate social responsibility. Whether profit maximisation is an important objective influencing the activities of firms in the real world depends on the type of business organisation. It is much more likely for public limited companies than other types of business organisation. For example, profit maximisation is less likely to be an important objective for public sector organisations and charities. For organisations in the public sector providing employment, cross subsidisation, universal service, provision of merit goods or goods /

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			errors that affect the validity of the analysis. Any diagrams must be integral to the analysis. Good evaluation will weigh up both sides/comparing alternatives but without reaching a supported judgment. <i>There is a well-developed line of reasoning which is clear and logically structured. The information presented is relevant and in the most part substantiated.</i> Level 3 (11–15 marks) Good knowledge and understanding of profit maximisation and of the activities of firms in the context of specific markets and industries. Good analysis of the factors influencing the choice of objectives. There is correct analysis in the form of developed links. These links are developed through a chain of reasoning which addresses the question. Any relevant diagram(s) are predominantly correct and linked to the analysis. Reasonable evaluation of the extent to which profit maximization is the most important factor influencing choice of objectives, considering both sides/comparing alternatives. <i>There is a line of reasoning presented with some structure. The information presented is in the most-part relevant and supported by some evidence.</i> Level 2 (6–10 marks) Good knowledge and understanding of profit maximisation and of the activities of firms in the context of specific markets and industries. Reasonable analysis of the factors influencing the choice of objectives. There is correct analysis largely in the form of		services with positive externalities may be more important. Overall it is difficult to establish what is the most important objective for a firm as this may change over time – profit may be sacrificed in the short term, for example, yet maximised in the long term. Business behaviour is complex and dynamic, so no one objective is likely to be realistic at any one point in time. Examiner's Comments A popular question choice, this question was answered well by better candidates. Weaker candidates showed less understanding of why profit maximisation may be the most important objective for firms in the real world. The mark scheme accommodated a range of possible reasons why profit maximisation is an important objective, including: the ability to fund investment; allowing a firm to be dynamically efficient; rewarding shareholders and managers in terms of higher dividend payments and profit-sharing schemes. Candidates were more convincing in their explanation of why profit maximisation might not be the most important objective and were able to provide examples of markets and firms where other objectives might be more important.

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			single links. These address the question but are not developed into a clear chain of reasoning. Any relevant diagram(s) may be imperfectly labelled or not linked to the analysis. Reasonable evaluation of the extent to which profit maximization is the most important factor influencing choice of objectives, considering both sides/comparing alternatives. <i>The information has some relevance, but is communicated in an unstructured way. The information is supported by limited evidence, the relationship to the evidence may not be clear.</i> Level 1 (1–5 marks) Reasonable knowledge and understanding of profit maximisation and of the activities of firms in the context of specific markets and industries. Limited or no analysis of the factors influencing the choice of objectives. There is little evidence of reasoning that addresses the question asked. There is a lack of a clear structure. The relevant diagram(s) may not be present or are incorrectly labelled. Limited evaluation of the extent to which profit maximization is the most important factor influencing choice of objectives in the form of an unsupported statement or no evaluation. <i>Information presented is basic and may be ambiguous or unstructured. The information is supported by limited evidence.</i> 0 marks no response or no response worthy of credit. Note: although a diagram is not required, it may enhance the quality of the answer and should be rewarded at the appropriate level.		

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			<table><tr><td>Descriptor</td><td>Award mark</td></tr><tr><td>Consistently meets the criteria for this level</td><td>At top of level</td></tr><tr><td>Meets the criteria but with some slight inconsistency</td><td>Above middle and either below top of level or at middle of level (depending on number of marks available)</td></tr><tr><td>Just enough achievement on balance for this level</td><td>Above bottom and either below middle or at middle of level (depending on number of marks available)</td></tr><tr><td>On the borderline of this level and the one below</td><td>At bottom of level</td></tr></table>	Descriptor	Award mark	Consistently meets the criteria for this level	At top of level	Meets the criteria but with some slight inconsistency	Above middle and either below top of level or at middle of level (depending on number of marks available)	Just enough achievement on balance for this level	Above bottom and either below middle or at middle of level (depending on number of marks available)	On the borderline of this level and the one below	At bottom of level		
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			Total	25											
2			A	1 (AO2)	Rationale ACorrect: $TVC = £15,000 - (£250 \times 12) = £12,000$. $AVC = £12,000 / 25,000 = 48p$ BSpecifies total fixed cost as £250 – need to multiply by 12 to find total fixed cost. C£15,000 / 25,000 = 60p = ATC DAdds rather than subtracts total fixed cost to total cost to find total variable cost.										
			Total	1											

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Question			Answer/Indicative content	Marks	Guidance
3			B	1 (AO2)	Rationale A This is where price does not equal marginal cost. B Correct: This is a short run concept where firms experience rising average costs because of a fixed factor of production. C This is a long run concept that is shown by movements up the LRAC curve. D This is a long run concept that is shown by movements down the LRAC curve.
			Total	1	

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4	Using Fig. 1.1, compare the profitability of hosting the Vancouver and London Olympic Games. <i>Award up to 2 marks for use of the data:</i> - Vancouver profit = \$ 1,578m - \$7,556m = -\$5,978m (1) - London profit = \$3,270m - \$11,401m = -\$8,131m (1) <i>Award up to 2 marks for explanation:</i> - The London Games made a bigger loss than the Vancouver Games (2) - Both Games made a loss (1) - The Vancouver Games was more profitable than the London Games (1)	4 (AO1 x 1) (AO2 x 3)	1 data mark can be awarded where both numbers are correct but there is only one of the following types of error: - Missing a \$ sign - Incorrect units (e.g. missing millions) - Use of a double negative (London made a loss of -\$8,131m and - Vancouver made a loss of -\$5,978m.) Where there is more than one type of error, no marks should be awarded for the calculations. No calculation marks can be awarded to answers without a minus sign, unless the candidate clearly identifies that a loss is being made. Examiner's Comments This was a well answered question, with many candidates securing full marks. Valuable time was wasted by some candidates describing revenues and costs rather than getting straight to calculating profits, but the majority showed a clear understanding of the concept of profit and how to calculate it. Some were thrown by the fact neither Games made a profit and subsequently offered convoluted analysis to try and prove otherwise – it is important candidates do not stray from the data given to them. Often the right approach was adopted but marks were lost because of errors in transcription; common mistakes included missing millions of dollars or presenting the answer as a double negative.
	Total	4	

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Question			Answer/Indicative content	Marks	Guidance
5			Calculate, using information from the stimulus material, the average fixed cost of educating a university student in 2014 – 2015. 1 mark for the identification OR understanding of fixed costs - fixed costs are the costs of providing university education which do not vary with the number of students (1) - depreciation and other overheads (1) 2 marks for the calculation of total fixed costs $\text{£}31.2\text{bn} \times 7.7\% (1) = \text{£}2.4024\text{bn} (1)$ 3 marks for the calculation of average fixed costs $\text{£}2.4024\text{bn} (1) / 2.2\text{m} (1) = \text{£}1,092 (1)$	3 (AO1* x 1) (AO2* x 2)	Award 1 mark for calculation of an average (ie by dividing any cost by the number of students = $x / 2.2\text{m}$) If a candidate identifies a valid fixed cost in their calculation they can be awarded full marks eg: $\text{£}31\text{bn} \times 1.4\% (1) = \text{£}0.4368\text{bn} (1) / 2.2\text{m} = \text{£}198.5 (1)$ $\text{£}31.2\text{bn} \times 6.3\% (1) = \text{£}1.9656\text{bn} (1) / 2.2\text{m} = \text{£}893 (1)$ $\text{£}31.2\text{bn} \times 62.5\% (1) = \text{£}19.5\text{bn} (1) / 2.2\text{m} = \text{£}8,863 (1)$ <u>Examiner's Comments</u> This question was challenging for many candidates. The information required to calculate the average fixed cost of educating a university student was given in lines 28 – 30 of the stimulus material and in Fig. 2. Where there was confusion over whether staff costs were variable or fixed, candidates could still achieve full marks and the mark scheme accommodated a number of different calculations made.
			Total	3	

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6			Many firms seek to maximise growth. Evaluate whether the main influence on the size of a firm over time is economies of scale. Level 5 (21–25 marks) Good - Strong knowledge and understanding of economies of scale. Strong analysis will have consistently well-developed links through a coherent chain of reasoning which addresses the question. Any relevant diagram(s) are predominantly correct with no significant errors that affect the validity of the analysis. Any diagrams must be integral to the analysis. Strong evaluation of the significance of economies of scale in the growth of a firm, weighing up both sides/comparing alternatives and reaching a supported judgment. <i>There is a well-developed and sustained line of reasoning which is coherent and logically structured. The information presented is entirely relevant and substantiated.</i> Level 4 (16–20 marks) Good knowledge and understanding of economies of scale. Strong analysis will have consistently well-developed links through a coherent chain of reasoning which addresses the question. Any relevant diagram(s) are predominantly correct with no significant errors that affect the validity of the analysis. Any diagrams must be integral to the analysis. Good evaluation will weigh up both sides/comparing alternatives but without reaching a supported judgment.	25 (AO1 x 6) (AO2 x 6) (AO3 x 6) (AO4 x 7)	Economies of scale can be internal or external. Internal economies result in a reduction in the long run average costs of a firm as the scale of production increases. There are several sources of internal economies of scale. These include technological, management, marketing, finance and procurement. External economies of scale benefit all firms as the scale of the whole industry increases. These include; a pool of skilled labour, shared research facilities and shared infrastructure. Economies of scale will encourage firms to grow as they will benefit from the reduction in long run average costs. This reduction might allow them to reduce the price of their product(s) and thus gain a competitive edge in the market. They may decide to keep price the same but earn more abnormal profit. In turn this will allow greater investment in the firm. The firm will become more internationally competitive and have access to a larger market. The extent to which economies of scale exist vary in different industries. Firms in some industries may be able to take advantage of economies of scale over a large range of outputs than in other industries. Other factors influencing growth might include the level of competition determined by the existence or lack of barriers to entry or the number of competitors and the behaviour of those competitors in the market. Other factors influencing growth will be the level of differentiation of the product and

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			<i>There is a well-developed line of reasoning which is clear and logically structured. The information presented is relevant and in the most part substantiated. Level 3 (11–15 marks)</i> Good knowledge and understanding of economies of scale. Good analysis of how economies of scale influence the growth of a firm. There is correct analysis in the form of developed links. These links are developed through a chain of reasoning which addresses the question. Any relevant diagram(s) are predominantly correct and linked to the analysis. Reasonable evaluation of the significance of economies of scale in the growth of a firm, considering both sides/comparing alternatives. <i>There is a line of reasoning presented with some structure. The information presented is in the most-part relevant and supported by some evidence. Level 2 (6–10 marks)</i> Good knowledge and understanding of economies of scale. Reasonable analysis of how economies of scale influence the growth of a firm. There is correct analysis largely in the form of single links. These address the question but are not developed into a clear chain of reasoning. Any relevant diagram(s) may be imperfectly labelled or not linked to the analysis. Reasonable evaluation of the significance of economies of scale in the growth of a firm, considering both sides/comparing alternatives. <i>The information has some relevance, but is</i>		the size of the market. Increasing output in order to reduce average costs will be of no value if the demand for the product does not exist. A period of slow, no or negative economic growth in the national economy will reduce the ability of a firm to grow and the state of the global economy will have a similar effect. A firm may seek to grow for other reasons than to achieve economies of scale, for example, a firm may wish to achieve a size which will act as a barrier to entry. A state owned enterprise may grow in order to keep pace with demand. The divorce of ownership and control in larger firms may mean that those running the business may do so more for their personal benefit, so adopting goals that are less than profit maximising. These goals may be goals such as revenue maximising, sales maximising, increasing market share and profit satisficing.

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			<i>communicated in an unstructured way. The information is supported by limited evidence, the relationship to the evidence may not be clear.</i> Level 1 (1–5 marks) Reasonable knowledge and understanding of economies of scale. Limited or no analysis of how economies of scale influence the growth of a firm. There is little evidence of reasoning that addresses the question asked. There is a lack of a clear structure. The relevant diagram(s) may not be present or are incorrectly labelled. Limited evaluation of the significance of economies of scale in the growth of a firm, in the form of an unsupported statement or no evaluation. <i>Information presented is basic and may be ambiguous or unstructured. The information is supported by limited evidence.</i> 0 marks no response or no response worthy of credit. Note: although a diagram is not required, it may enhance the quality of the answer and should be rewarded at the appropriate level.										
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			On the borderline of this level and the one below	At bottom of level		
			Total		25	
7			Fig.1. shows the growth of new supermarkets, such as Aldi. Using the information in Fig.1., calculate the percentage change in total revenue from grocery sales by Aldi between July 2014 and July 2016. July 2014 4.8% of £177.4bn = £8.5bn July 2016 6.2% of £179.1bn = £11.1bn Both correct (1 mark) Percentage change = 30.458823. Accept 30.5% or 30.6% depending on when rounded up (1 mark) increase (1 mark) Total		2 (AO1*1) (AO2*1)	
					2	

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8	a	Up to four marks. up to two marks for each of Figs 2 and 3. Up to two marks for explanation in relation to Fig. 2. Up to two marks for explanation in relation to Fig. 3.	4 (AO1 x 2) (AO2 x 2)	Explanation of Fig. 2: - it shows the prices of cement rising although costs were relatively stable - profits were increasing as the gap between average revenue and average cost was rising numerically, e.g. profit per unit averaging approximately £14 in 2007 and 2008 but approximately £25 in 2009–10 Explanation of Fig. 3: - it shows profit margins fell in 2009 and 2010 - losses were experienced in June 09–July 10 - higher profit was earned in 2008 than in 2007. Accept candidate use of references to normal and supernormal profit for both Figs 2 and 3.
	b	Level 2 (5–8 marks) Good knowledge and understanding of economies of scale in relation to specialisation in the context of a narrow range of products. Strong analysis of the link between the range of products produced and the ability to take advantage of economies of scale. Strong evaluation including a supported judgement of whether or not firms which specialise in a narrow range of products can take advantage of economies of scale. Level 1 (1–4 marks) Reasonable knowledge and understanding of economies of scale. Reasonable analysis of the link between the range of products produced and the ability to take advantage of economies of scale. Limited or no evaluation of whether or not firms which specialise in a narrow range of	8 (AO1 x 1) (AO2 x 1) (AO3 x 3) (AO4 x 3)	<i>Indicative content</i> Those internal economies dependent on specialisation, e.g.: - buying/purchasing economies – discounts on the purchase of raw materials, e.g. cement - technical economies – larger, more efficient and specialised equipment - selling economies – e.g. transport in specialised vehicles - division of labour economies – production workers specialising in particular parts of the production process - research and development economies – developing new and improved versions of the product. External economies of scale dependent on specialisation, e.g.: - specialist courses for workers put on by colleges and universities - disintegration – firms specialising in a

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			products can take advantage of economies of scale. 0 marks no response or no response worthy of credit. Note: although a diagram is not required, it may enhance the quality of the answer and should be rewarded at the appropriate level.		particular process - ancillary industries providing services and raw materials. Those internal economies not dependent on specialisation, e.g.: - risk bearing – depends on producing a range of products in order to spread risks - financial economies – borrowing more easily and at cheaper rates - managerial economies – some specialist staff, such as accountants, work across a range of products - advertising economies – advertising the firm's name across a range of products - staff facilities economies – such as staff canteens. External economies of scale, e.g. in the form of transport facilities, such as an airport being set up close to the industry, are not dependent on specialisation. Credit, where appropriate, knowledge/analysis of other, relevant factors. Possible routes into evaluation: - not all economies of scale are dependent on specialisation it will - depend on the nature of the product; e.g. in the case of concrete and cement, technical economies of scale are likely to be very important a firm may be able - to enjoy all types of economies of scale by having large branches producing different types of products. External economies of scale tend to be more dependent on specialisation than internal economies of scale.
			Total	12	

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9			B	1 (AO1)	Rationale AAccess to skilled labour will reduce a firm's long run average costs. BCorrect: The firm's long run average costs will fall even though output is unchanged because it can take advantage of skilled labour that is already located in the area, reducing training costs/raising productivity and lowering long run average costs. CThis occurs when a firm's long run average costs increases when output increases – there is no reason why a firm's output will change when it relocates. DThis occurs when a firm's long run average costs decreases when output increases – there is no reason why a firm's output will change when it relocates.
			Total	1	
10			B	1 (AO3)	Rationale A$(115.7 - 110.1) - (110.1 - 105.8) = 5.6 - 4.3 = 1.3\%$ BCorrect: $(115.7 - 110.1) / 110.1 \times 100 = 5.1\%$ C$115.7 - 110.1 = 5.6\%$ D$(115.7 - 100) / 100 \times 100 = 15.7\%$
			Total	1	
11			C	1 (AO1)	Rationale AThis is a merit/demerit good problem. BThis is an information failure problem. CCorrect: this separation between ownership and control is most likely to occur in large firms. DThis is an externalities problem.
			Total	1	

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12			C	1 (AO3)	Rationale At is to the left of the intersection of MC and AC and therefore not productively efficient. Brpst = profit ie revenue minus cost. CCorrect: x is the point where PED = 1 since at w MR = 0 and s is to the left of x so elastic. DIdentifying area of total cost only.
			Total	1	
13			C	1 (AO2)	Rationale AThis is the first time the increase in MP diminishes. BEven though MP does not rise, it is a case of constant returns. CCorrect: at this point MP falls for the first time. DThis is a case of negative returns.
			Total	1	
14			C	1 (AO2)	Rationale AAAlthough a possible secondary goal, unlikely to be the focus for the majority of shareholders. BThe divorce of ownership and control allows management to run the business to their mutual advantage. Beneficial pension schemes, top spec company cars, lavish corporate entertainment etc will reduce overall profit potential away from the maximum position. CCorrect: Whilst running a business to their satisfaction, managers are still aware that they must make sufficient profit in order to pay the dividends that will keep shareholders happy. DLeast likely option but a distracter especially for the less well prepared candidates.
			Total	1	

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15			A	1 (AO1)	Rationale ACorrect – a sales volume maximising firm will continue to produce output until only a normal profit is being made BThis is the shutdown price CThis is the profit maximising level of output DThis is the revenue maximising level of output
			Total	1	
16			C	1 (AO3)	Rationale AThis is a monopoly case in which firms are making supernormal profit. Barriers to entry will mean firms are unable to enter the market to compete. BThis is an oligopoly case in which firms are making a supernormal profit. Barriers to entry will mean firms are unable to enter the market to compete. CCorrect – this is a monopolistic competition case where a loss is being made, which would cause firms to leave the market and the industry supply curve to shift to the left. DThis is a perfect competition case in which firms are making a supernormal profit. This would incentivise firms to enter the market, causing the industry supply curve to shift to the right.
			Total	1	

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17			C	1 (AO1)	Rationale A Only one factor of production needs to be fixed to be in the short run. B This is the long run. Correct: The short run is a period of time in which at least one of the factors of production cannot be varied. D This does not define either the short or the long run – it is possible to have a short run and long run situation in which there is at least one variable factor of production.
			Total	1	
18			D	1 (AO3)	Rationale A This is most likely to occur in an oligopoly market and will cause allocative inefficiency. B This is unlikely to achieve allocative efficiency because in a natural monopoly it is more efficient to have just one firm in the market to avoid the wasteful duplication of resources. C This could lead to allocative efficiency when there is market failure caused by information failure. D Correct: If the government allows one firm to operate in the market but regulates it by, for example, setting pricing rules, the benefits of economies of scale can be enjoyed without firms using their monopoly power to exploit consumers.
			Total	1	

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19			D	1 (AO3)	Rationale A This is an external diseconomy of scale B This is X-inefficiency C This is an external economy of scale D Correct: This is an internal diseconomy of scale, as the growth in the size of the firm harms worker morale and leads to productivity falling, increasing long run average cost.
			Total	1	
20			C	1 (AO1)	Rationale A X-efficiency will also occur as firms would be driven out of the market if they were not operating on their lowest attainable average cost curve. Firms will not be dynamically efficient as they will not have the supernormal profit to invest in research & development. B Firms will not be dynamically efficient as they will not have the supernormal profit to invest in research & development. C Correct: Firms will produce at the minimum efficient scale, price equal to marginal cost and be operating on their lowest attainable average cost curve. D Firms will not be dynamically efficient as they will not have the supernormal profit to invest in research & development.
			Total	1	

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21			C	1 (AO2)	Rationale A Incorrectly includes 'Others' as one of the 3 firms: $33.2 + 37.6 + 18.8 - 24.8 - 32.9 - 31.3 =$ decreased by 0.6%. B This explains what has happened to the 4 firm concentration ratio: $33.2 + 37.6 + 2.4 - 24.8 - 10.6 - 0.4 - 31.3 =$ decreased by 6.1%. C Correct: 3 firm concentration ratio in 2010 = $37.6 + 33.2 + 2.4 = 73.2\%$. 3 firm concentration ratio in 2019 = $31.3 + 24.8 + 10.6 = 66.7\%$. 3 firm concentration ratio has decreased by $73.2 - 66.7 = 6.5\%$. D Uses the same 3 firms in 2019 as in 2010: $33.2 + 37.6 + 2.4 - 24.8 - 0.4 - 31.3 =$ decreased by 16.7%.
			Total	1	

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22			Explain the likely objective of a water or electricity firm if it operated in the public sector. • A public sector firm will seek to maximise social welfare/utility/achieve allocative efficiency (1) • Government funds public services to deliver high levels of consumer satisfaction to the population (1) • This means they will consider private and external costs and benefits (1), unlike a private sector firm which will only care about profit (1). • Public sector firms aim to keep prices as low/quality as high as possible for consumers (1)	3 (AO1 x 2) (AO3 x 1)	Candidates must recognise that the public sector is government funded to get the second mark exemplified here. A simple statement that private sector firms seek to maximise profit should not be credited unless compared to a public sector firm. Examiner's Comments Several candidates struggled with this question because they did not understand what was meant by the public sector. Those who did were able to identify the likely objective, with many pointing out that this differed the profit maximising behaviour likely to be seen in the private sector. Those who secured two or three marks were able to explain in greater depth what is meant by welfare/utility maximisation and/or why this is more likely to be the objective in the public sector.
			Total	3	

Mark Scheme

Question	Answer/Indicative content	Marks	Guidance
23	Evaluate, using the information in Extract 2, whether the likely objective of a private sector water or electricity firm justifies taking them into public ownership. Level 2 (5–8 marks) Good knowledge and understanding of objectives of firms. Good – strong analysis of whether the likely objective of a private sector water or electricity firm justifies taking them into public ownership. Good analysis will be in the form of developed links. These links are developed through a chain of reasoning which addresses the question. Any relevant diagram(s) are predominantly correct and linked to the analysis. Strong analysis will have consistently well-developed links through a coherent chain of reasoning which addresses the question. Any relevant diagram(s) are predominantly correct with no significant errors that affect the validity of the analysis. Any diagrams must be integral to the analysis. Reasonable – strong evaluation of whether the likely objective of a private sector water or electricity firm justifies taking them into public ownership. Good evaluation will weigh up both sides/comparing alternatives but without reaching a supported judgment. Strong evaluation should include a supported judgment. Level 1 (1–4 marks) Limited – reasonable knowledge and understanding of objectives of firms. Limited – reasonable analysis of whether the likely objective of a private sector water or electricity firm justifies taking them into public ownership. Limited analysis will have little evidence of reasoning that addresses the question asked. There is a lack of a clear structure. Reasonable	8 (AO1 x 1) (AO2 x 1) (AO3 x 2) (AO4 x 4)	Guidance: • Whilst most candidates will start their answer explaining why the profit maximising nature of private sector firms justifies nationalisation, the reverse approach is equally valid. • The side of the argument presented first should be credited as Analysis, with the other side credited as Evaluation. • Strong evaluation requires an explained judgement. An explained judgement without Good evaluation can be credited as evaluation. Knowledge & Understanding: Knowledge & Understanding marks should be awarded for material that is given in the case study: ◦ Discipline of the marketplace creates competition that drives efficiency, raises revenue for the government and lowers prices. ◦ Private firms failed to invest in London's water mains and high-speed broadband. ◦ Nationalisation would increase investment. ◦ £170bn bill incurred from nationalisation. ◦ Efficiency would be better served from tight regulation such as energy price caps of 2019. Analysis and Evaluation requires candidates to go beyond what is given in the case study. Analysis may include: • A natural monopoly that profit maximises will charge high prices because there are no substitutes. • Public utilities are likely to be natural monopolies because the high barriers to entry prevents competition.

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	analysis will have correct analysis largely in the form of single links. These address the question but are not developed into a clear chain of reasoning. Any relevant diagram(s) may be imperfectly labelled or not linked to the analysis. Limited evaluation of whether the likely objective of a private sector water or electricity firm justifies taking them into public ownership or no evaluation. 0 marks no response or no response worthy of credit.		• This is particularly problematic in the case of public utilities because they are necessity goods. Firms will enjoy • significant supernormal profits that will benefit shareholders but not service users, who experience little consumer surplus as prices are high. Firms have no • incentive to undertake investment because they do not face competition. Nationalising these firms would mean • supernormal profits are redistributed to service users in the form of lower prices and/or greater investment in the quality of the service. Evaluation may include: • The cost of nationalising these firms will incur an opportunity cost and reduce the ability of the government to spend elsewhere. • The government may not have the funds to invest sufficiently, meaning the quality of the service may not improve. • X-inefficiency may result because there is no profit incentive in the public sector – this could lead to worsening productivity and rising prices and/or a worse quality of service. • Regulation of private sector firms such as setting pricing rules may be more effective – this would enable the benefits of a profit incentive to be enjoyed without consumers being exploited, providing the regulator sets the pricing cap at the right level. <u>Examiner's Comments</u> Making better use of the extract would have helped candidates secure better marks in this question. The extract explained that these industries are monopolies; a good place to start this answer would have been to explain the harm private sector monopolies are likely to cause. Better responses considered the extent to which the industries being natural monopolies changed their conclusion,

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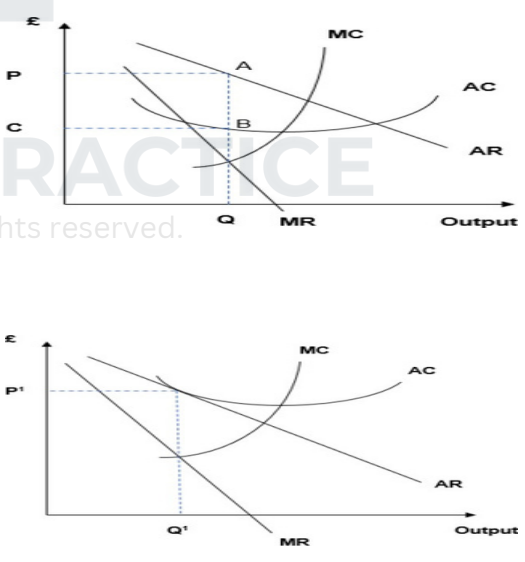
Question			Answer/Indicative content	Marks	Guidance
					making powerful arguments that the lack of a profit incentive could lead to inefficiency that results in prices being no lower and quality no higher than if left to the private sector.
			Total	8	



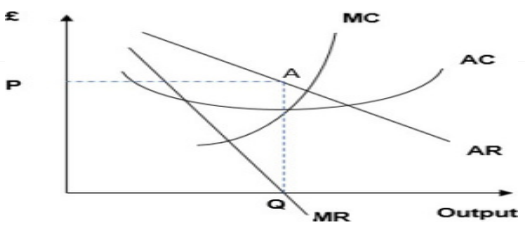
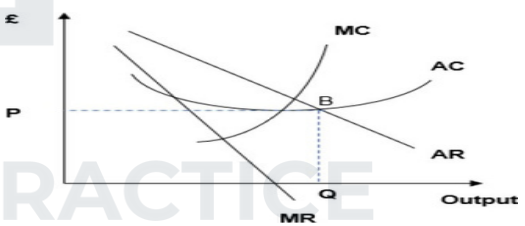
EXAM PAPERS PRACTICE

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Question	Answer/Indicative content	Marks	Guidance
24	“The nature of the market experienced by Internet-based firms, such as Amazon Marketplace, eBay and Alibaba, means that they may not have an objective of profit maximisation.” Evaluate, using an appropriate diagram(s), how a firm’s objectives, other than profit maximisation, may affect its price and output decisions. Level 5 (21–25 marks) Good – Strong knowledge and understanding of non-profit maximising objectives and how they may affect decisions. Strong analysis of how non-profit maximising objectives may affect price and output decisions. It will have consistently well-developed links through a coherent chain of reasoning which addresses the question. Any relevant diagram(s) are predominantly correct with no significant errors that affect the validity of the analysis. Any diagrams must be integral to the analysis. Strong evaluation of how non-profit maximising objectives have a significant effect, weighing up both sides/comparing alternatives and reaching a supported judgment. <i>There is a well-developed and sustained line of reasoning which is coherent and logically structured. The information presented is entirely relevant and substantiated.</i> Level 4 (16–20 marks) Good knowledge and understanding of non-profit maximising objectives and how they may affect decisions. Strong analysis of how non-profit maximising objectives may affect price and	25 (AO1 × 6 AO2 × 6 AO3 × 6 AO4 × 7)	For a mark at the top of each level the response should be in context. Many analysts may argue that digital marketing firms are one of the closest examples to perfect competition in the modern world. There are many firms offering a homogeneous product. There is freedom of entry and exit and perfect information, firms will only make normal profits in the long-run and prices will be kept low by competitive pressures. However, the markets mentioned are not perfectly competitive; there is some degree of branding and limited barriers to entry/exit. Although supernormal profit may be possible in the short-run, only normal profits will be made in the long-run.  All of this assumes an objective of profit maximisation. However, in modern markets this may be unlikely. Non-profit maximising objectives may be pursued instead. Revenue maximisation Occurs where $MR=0$

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	output decisions. It will have consistently well-developed links through a coherent chain of reasoning which addresses the question. Any relevant diagram(s) are predominantly correct with no significant errors that affect the validity of the analysis. Any diagrams must be integral to the analysis. Good evaluation of how non-profit maximising objectives have a significant effect, weighing up both sides/comparing alternatives but without reaching a supported judgment. <i>There is a well-developed line of reasoning which is clear and logically structured. The information presented is relevant and in the most part substantiated.</i> Level 3 (11–15 marks) Good knowledge and understanding of non-profit maximising objectives and how they may affect decisions. Good analysis of how non-profit maximising objectives may affect price and output decisions. There is correct analysis in the form of developed links. These links are developed through a chain of reasoning which addresses the question. Any relevant diagram(s) are predominantly correct and linked to the analysis. Reasonable evaluation of how non-profit maximising objectives have a significant effect, considering both sides/comparing alternatives. <i>There is a line of reasoning presented with some structure. The information presented is in the most-part relevant and supported by some evidence.</i> Level 2 (6–10 marks) Good knowledge and understanding of non-profit maximising objectives and how they may affect decisions.		 Output will be higher but prices lower than profit maximisation. This is only really possible in the short-run, as in the long-run price will be lower than AC. Sales maximisation Occurs where $AC=AR$  Output will be even higher and prices even lower, but only normal profits can be made. Growth maximisation This is a relatively loose concept and both sales and revenue maximisation can be considered in this category. Growth maximisation may come at the expense of lower profits. For example, starting a price war can lead to lower profits but enable higher sales. However, increasing market share can be a way to increase profits in the long-term. A firm operating on Amazon Marketplace may charge a much lower price in the short-run to gain a higher ranking and ratings on the site which it can benefit from in the future. It gives a better potential to dominate the market in the

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	Reasonable analysis of how non-profit maximising objectives may affect price and output decisions. There is correct analysis largely in the form of single links. These address the question but are not developed into a clear chain of reasoning. Any relevant diagram(s) may be imperfectly labelled or not linked to the analysis. Reasonable evaluation of how non-profit maximising objectives have a significant effect on decisions, considering both sides/comparing alternatives. <i>The information has some relevance, but is communicated in an unstructured way. The information is supported by limited evidence, the relationship to the evidence may not be clear.</i> Level 1 (1–5 marks) Reasonable knowledge and understanding of non-profit maximising objectives or perfect competition. Limited or no analysis of how non-profit maximising objectives may affect price and output decisions. There is little evidence of reasoning that addresses the question asked. There is a lack of a clear structure. The relevant diagram(s) may not be present or are incorrectly labelled. Limited evaluation of non-profit maximising objectives in the form of an unsupported statement or no evaluation. <i>Information presented is basic and may be ambiguous or unstructured. The information is supported by limited evidence.</i> 0 marks no response or no response worthy of credit.		future. Utility maximisation This assumes that all stakeholders in a firm (who want to <u>maximise their own welfare</u>) will have some power to influence its behaviour. The firm's behaviour is then determined by the relative power of the different stakeholders. Evaluation might include: • most of the firms selling on sites such as Amazon Marketplace and eBay are very small (often operating from a house or small industrial unit) but have to compete against well-known brands, who also sell on these platforms – therefore the objective of these firms may not have an impact on their price and output • price is very much the key factor for firms selling on these platforms (where it is so easy for customers to make price comparisons) so the objective of sales maximisation may have the most significant impact on price and output • customer ratings and comments are vital on these trading platforms and so non-maximising objectives (such as customer service) may have the most significant impact on price and output

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			<table><tr><td>Descriptor</td><td>Award mark</td></tr><tr><td>Consistently meets the criteria for this level</td><td>At top of level</td></tr><tr><td>Meets the criteria but with some slight inconsistency</td><td>Above middle and either below top of level or at middle of level (depending on number of marks available)</td></tr><tr><td>Just enough achievement on balance for this level</td><td>Above bottom and either below middle or at middle of level (depending on number of marks available)</td></tr><tr><td>On the borderline of this level and the one below</td><td>At bottom of level</td></tr></table>	Descriptor	Award mark	Consistently meets the criteria for this level	At top of level	Meets the criteria but with some slight inconsistency	Above middle and either below top of level or at middle of level (depending on number of marks available)	Just enough achievement on balance for this level	Above bottom and either below middle or at middle of level (depending on number of marks available)	On the borderline of this level and the one below	At bottom of level		
Descriptor	Award mark														
Consistently meets the criteria for this level	At top of level														
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On the borderline of this level and the one below	At bottom of level														
			Total	25											
25			Refer to line 11. Calculate, using information from the stimulus material, the average cost of a seat on an easyJet plane in 2018. Profit = TR – TC Profit per seat = AR – AC AC = AR – Profit per seat AC = £62 - £6.53 AC = £55.47 _____	2 (AO2*2)	Annotate with  Award 2 marks for an answer of £55.47 (with or without working) Award 1 mark for evidence of identifying the correct data (£62 and £6.53)										
			Total	2											